

In considering exactly what is in your best interests as a mutual fund investor, I suggest that you abide by these four elementary rules: (1) be canny, (2) be thrifty, (3) be active, and (4) be skeptical. In the following pages I will review these rules as if they were mutually exclusive, but intelligent investors will want to incorporate all four into their investment programs.

THE CANNY INVESTOR

It seems almost naive to suggest that if investors are canny—wise enough to rely on their own common sense and good judgment—the mutual fund industry will be an even better investment medium. Nonetheless, I believe it to be true. As an industry, it is exceptionally responsive to investors' needs and demands. Through modern, sophisticated direct marketing techniques and energetic, highly motivated sales forces, the industry responds to consumer demands as quickly as any financial services business I have ever observed. The problem is that investors have largely demanded the *wrong* things and have for the most part ignored the right things. So any industry improvement depends first on a change in investors' attitudes—acting wisely and carefully in the selection and ownership of mutual fund shares.

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While it seems trivial to suggest that the canny investor begin by reading fund prospectuses, that is where it really